CHARTERED ACCOUNTANTS ACADEMY

ZIMBABWE

CERTIFICATE IN THEORY OF ACCOUNTING

(ZCTA)

FULLTIME & PART TIME LEVEL 2

APPLIED TAXATION

MODULE 2 – 2022

Property of CAA Learning Media©
For 2022 Examinations

CAA Learning Media is an ICAZ Approved Learning Partner. This means we work closely with ICAZ to ensure this Study Text contains the information you need to adequately prepare for your CTA Examinations and ultimately ICAZ ITC.

In this Study Text, which has been reviewed by the CAA examination team, we:

- Highlight the most important elements in the syllabus and the key skills you need.
- Signpost how each chapter links to the syllabus and the study guide.
- Provide lots of exam focus points demonstrating what is expected of you in the exam.
- Emphasize key points in regular fast forward summaries.
- Test your knowledge in quick quizzes.
- Examine your understanding in our practice question bank.
- Slides, video material accessible through My CAA learning portal supports this module.

All rights reserved. No part of this publication may be reproduced, stored in a retrieval system or transmitted, in any form or by any means, electronic, mechanical, photocopying, recording or otherwise, without the prior written permission of CAA Learning Media Ltd. We are grateful to the Institute of Chartered Accountants of Zimbabwe (ICAZ) for permission to reproduce past examination questions. The suggested solutions in the practice answer bank have been prepared by CAA Learning Media, unless otherwise stated.

Applied Taxation

Published and Printed in Zimbabwe by

CAA Learning Media

2nd Floor Strachans Building

66 Nelson Mandela

Harare

Zimbabwe

www.caa.ac.zw admin@caa.ac.zw

WELCOME REMARKS



ROSEWINTER MANJOWE CA(Z)

Dear Student,

We warmly welcome you to the CTA Fulltime Program. Since you have been admitted to this program, your entry level qualifications mean that you have done a tertiary level course on Taxation although it may not have been Zimbabwean Taxation. For those that have not done Zimbabwean Tax this means that you will need to catch up on the knowledge for Zimbabwean Taxation. This course seeks to train you on fundamental Tax principles in Income Tax, Value Added Tax and Capital Gains Tax. While there are other Taxes such as Customs Duty, these fall outside the scope of the CTA 2021 syllabus. Within these three Tax heads, the course scopes out special taxpayers and complex tax principles, leaving it to you to specialize post qualification if you so wish.

Our learning model has three main pillars namely, knowledge, comprehension, and application. You will be expected to acquire tax knowledge and current affairs around taxes during the year. Given your qualification, most of this knowledge is assumed to have been acquired already. We recommend from day one that you brush up and ensure you have mastered concepts. The next pillar is about comprehension where we expect you to practice your ability to comprehend what you learn from different sources. This skill is required even on exam day where you will be expected to comprehend the scenario and the required tasks. Our experience has been that this is a major contributor to failure as students are unable to apply what they know because that they did not fully grasp a subject matter at study stage, on exam day or both. The third pillar is the application of the knowledge comprehended. Your assessments shall not focus on your ability to regurgitate prior knowledge but will test your ability to synthesize information at comprehension stage, analyses and evaluate it before applying it to the problem presented in the examination.

This places a lot of emphasis on exam day fitness and on ability to apply what you have learnt only as required. To achieve your transition to a student who will pass the course, the Tax department shall provide you with learning material, suggested study plans, video material, class lectures, class tutorials, in class tests, homework and quizzes to deliver the course. We implore you to start early and wish you success.

Regards,

Tax Department

Written together with the CAA Tax team.

Property of CAA Learning Media©
For 2022 Examinations

Tax Department Personnel and Contact Details

Lecturer Name	Telephone number	Email Addresses
Rosewinter Manjowe	+263 4 702 532-5	rosewinter@caa.ac.zw
Fungai Charumbira	+263 4 702 532-5	fungai@caa.ac.zw
Philip Chambati	+263 4 702 532-5	philip@caa.ac.zw
Chrispen Tazvitya	+263 4 702 532-5	chrispen@caa.ac.zw
Fidelis Jimu	+263 4 702 532-5	jfidelis@caa.ca.zw

Background to Taxation

Because Taxation is a subject grounded in law, there is usually a clearer distinction between right and wrong answers and more consistency in the expected layout of solutions than in other subjects. Students who struggle with detailed computations in other subjects may be able to improve their overall marks through good performance in the taxation question(s), since the numbers themselves are usually not complex.

Although on the surface Taxation may seem like a large volume of rules to memorize, underlying the development of the legislation are principles, objectives, and history. We would therefore encourage you to take the time to ask the "why" questions when engaging with the content, rather than focusing purely on the "what"/ "how" questions. This extra investment of time will make it easier to apply legislation in the exam, as well as help you to deal with any unfamiliar topics that may arise.

The primary goal of this programme is to focus on improving exam technique, while refreshing your technical knowledge. In order to maximize the effectiveness of the programme, you need to spend time comparing your solution to the model answer for each tutorial. It is not enough that you arrive at the same number as the solution; you need to follow the same approach, provide the same level of detail, and have appropriate section referencing to score the available marks. Even if you came to the same answer, continue to ask yourself, "How could my exam technique have been better?"

Section summaries and areas of focus

Case law questions

In preparing for case law questions, it is important that you start with the underlying section and the criteria of the Income Tax Act, rather than memorizing the case law summaries. Try to understand what may be uncertain with regard to each criterion, and then link this to how this has been clarified by case law, which case(s) provided that clarity, and what the resulting precedent was.

Example for gross income:

- "Received by" – does this criterion mean that if an amount has been received then this criterion is automatically satisfied?

- No, only amounts received for the taxpayer's own benefit meet the criterion of "received" *(Geldenhuys).* However, a commitment to subsequently dispose of an amount received to another person does not mean that the amount has not been "received" *(Witwatersrand Association of Racing Clubs).*

Other discussion questions

Property of CAA Learning Media©
For 2022 Examinations

The trend in the last few exams has been to ask a discussion question involving the appropriate application of a section of the Income Tax Act that is not frequently encountered. The questions tend not to be too complex in the facts, and sometimes steer students specifically to the section in question – the objective seems to be to test whether students can apply the provisions of a section that they are unlikely to have memorized in detail prior to the exam.

When answering such questions, it is important to consider the mark allocation in determining the level of detail required in your answer. If the mark allocation is high, it is unlikely to be sufficient to jump straight to the final answer. In such circumstances you should read the section a couple of times until you are familiar with how it operates, and then in your answer, explain each of the relevant provisions in the section, explaining how they work and in what circumstances they would apply. The point of such questions is not to trick students, but rather to test ability to interpret legislation, so do not be afraid to make obvious observations.

Calculation questions

Students most frequently lose marks in such questions due to items that they omit from their solutions. For example, a student may include a recoupment on sale but fail to calculate the related capital gain (i.e., for specified assets).

As you practice calculation questions, ask yourself why you failed to deal with items that you omitted from your solution. Once you see the solution, the operation of the relevant sections may seem obvious, but clearly you missed something in the scenario that should have prompted you to include this item. Note what it was that you missed, and start building up a memory of what types of information typically lead to which calculations, and which calculations typically comes together?

Exam technique is also important in these questions. Consider the layout that the solutions favour for each type of calculation and compare that to your own and consider the level of supporting reasoning in the solution in comparison to your own. You should not only be familiar with the technical content, but also confident of how you would lay out your solution if that content were examined.

Finally, make sure you score the easy marks. At this point, no student can expect to know all of the technical content. Do not let an item that you are unfamiliar with put you off. Even if you have to leave that item out altogether, answer all of the rest of the question, and be sure to pick up the marks for standard items like inclusion rates, rebates, and calculation of tax payable.

Writing the exam

Examination technique and style of testing

Your examination technique, as with all of the subjects, is the primary cause of underperformance.

Completing the tutorials provided properly should assist in this regard. Completing a Taxation tutorial properly involves using the following techniques:

- Reading and analyzing the scenario.
- Reading and analyzing the required. In particular, it is important to identify whether the question requires a discussion or a calculation, and what format the solution should take.
- Answering the required without reference to the suggested solution. You must use the mark allocation and time allocation provided to you as a guide.

Property of CAA Learning Media©
For 2022 Examinations

- Once complete, refer to the suggested solution and mark your attempt. This is not simply a case of determining what you got correct and what you did not but rather you need to establish why you got something incorrect. In other words, did you make a simple calculation error or is there something you do not understand at all—it is at this point you must be honest with yourself.
- Use this process to identify areas where further work is necessary.

  Completing a tutorial properly will also allow you to assess the quality of your workings, the logical flow of your arguments and the strength of your solution—in other words, your examination technique and your approach.

Property of CAA Learning Media©
For 2022 Examinations

CTA 2021 SYLLABUS

TAXATION EXAMINABLE PRONOUNCEMENTS

1. Core legislation under examination and level description

The syllabus is principally concerned with the taxes and duties levied in terms of the following five statutes:

- The Income Tax Act Chapter 23:06
- The Value Added Tax Act Chapter 23:12
- The Capital Gains Tax Act Chapter 23:01
- The Finance Act Chapter 23:04
- The Estate Duty Act Chapter 23:03

All other taxes, duties, and levies payable in terms of various statutes have been excluded from the syllabus, unless specifically mentioned in this document. References to the relevant Act have been inserted in the syllabus where appropriate.

Regulations, interpretation notes and binding general rulings are to be covered on the same level as the applicable provision in the Act.

Knowledge levels as defined in the Competency Framework are summarized as follows:

Level 1 (Basic)

At this level the candidate is required to acquire a knowledge and understanding of the core/

essence of the subject matter which includes that the subject matter exists, the significance and relevance thereof, and its defining attributes.

Consequently, the candidate is required to have a knowledge and understanding:

- Of the purpose and objective of the subject matter.
- Of the underlying principles underlying principles/practices/legislation/requirements (hereafter "content"); and
- Of how the content relates to the discipline as a whole and to other disciplines (how it "fits in"); at a broad conceptual level. At this level, knowledge and understanding of detail, including procedural or numerical aspects specific to the subject matter, are not required. At this level the candidate should be equipped with the extent and depth of knowledge and understanding which enable the candidate to recognise issues when encountered and to seek further depth of knowledge and understanding.

Level 2 (Intermediate)

At this level the candidate is required to acquire a detailed knowledge and understanding of the

central ideas and issues that comprise the substance of the subject matter. Consequently, the candidate is required to have a knowledge and understanding:

Property of CAA Learning Media©
For 2022 Examinations

- Of those aspects of the content that are central to the subject matter, so as to achieve a sound conceptual understanding; and
- Of the detail, including procedural and numerical aspects specific to the subject matter, where appropriate. Knowledge and understanding of complexities and unusual/exceptional aspects are, however, not required. At this level the candidate should be equipped with a sound knowledge and understanding of the substance of the subject matter to enable them to deal with issues and solve problems that are central to the topic. The candidate should have a sound conceptual knowledge which enables them to further explore and understand complexities, if necessary. This level includes the level of knowledge and understanding required for level 1 (Basic).

Level 3 (Advanced)

At this level the candidate is required to acquire a thorough knowledge and understanding of the subject matter. This level of knowledge and understanding extends beyond a sound understanding of central issues, to include complexities and unusual/exceptional aspects associated with the subject matter. Consequently, the candidate is required to have a knowledge and understanding of:

- All content that is required to develop a thorough understanding of the subject matter;
- Complexities; and
- Sufficient depth to clearly locate content in the general field of accountancy and to identify implications and relationships.

At this level the candidate should be equipped with a level of knowledge and understanding of the substance of the subject matter that enables them to perform tasks and solve problems with a high degree of rigor, exercising sound judgement. This level includes the level of knowledge and understanding required for level 1 (Basic) and level 2 (Intermediate).

Property of CAA Learning Media©
For 2022 Examinations

3. Important Court Decisions

The list will primarily include Supreme Court Cases. It is up to each academic to decide which additional cases will be used as teaching aids.

***Please note** the following:*

A mark will be allocated in the exam for stating the correct principles of important cases (e.g. 1 mark) and a mark will be awarded for the correct name of the case (e.g. 2 marks in total).

Relevant to	Words or phrase considered	Name of the court case
Definition of gross income	Resident	• Cohen v CIR • CIR v Kuttel
Definition of gross income	Amount	• CIR v Butcher Bros (Pty) Ltd • CIR v Lategan
Definition of gross income	'from a source within ... the Republic'	• CIR v Lever Brothers and Unilever Ltd
Definition of gross income	Accrued to	• CIR v People's Stores (Walvis Bay) (Pty) Ltd • CIR v Witwatersrand Association of Racing Clubs
Definition of gross income	received by	• Geldenhuys v Commissioner for Inland Revenue • MP Finance Group CC (In Liquidation) v C: SARS • Pyott Ltd v CIR
Deductions – Section 15 2(a)	Expenditure actually incurred	• Edgars Stores Ltd v CIR • Nasionale Pers Bpk v KBI • CIR v Golden Dumps (Pty)Ltd • C:SARS v Labat (2011 SCA)
Deductions – section 15 2(a)	Not of a capital nature	• New State Areas Ltd v CIR • Rand Mines (Mining &Services) Ltd v CIR BPSA • (Pty) Ltd v C:SARS [2007]SCA 7(RSA)

Property of CAA Learning Media©
For 2022 Examinations

Deductions – section 15 2(B)	Repair	• Flemming v KBI • CIR v African Products Manufacturing Co Ltd
Trading stock	Definition and section 2	• Ernst Bester Trust v C:SARS Eveready (Pty) Ltd
VAT	Zero-rated services	• C: SARS v Stellenbosch Farmers' Winery Limited • (25 May2012)

Relevant to	Words or phrase considered	Name of the court case
Definition of gross income	Of a capital nature – Intention	Elandsheuwel Farming (Edms) Bpkv SBI CIR v Richmond COT Southern Rhodesia v Levy
Definition of gross income	Of a capital nature – Scheme of profit-making	CIR v Pick 'n Pay Employee share purchase trust
Definition of gross income	Of a capital nature – mixed or dual intention	CIR v Stott CIR v Nel
Definition of gross income	Of a capital nature – Change in intention	CIR v Nussbaum Natal Estates Ltd v SIR Berea West Estates (Pty) Ltd v SIR C: SARS v Founders Hill (Pty) Ltd (SCA) John Bell v SIR
Definition of gross income	Of a capital nature – the nature of the 'asset'	CIR v Visser CIR v George Forrest Timber CIR v Nel
Definition of gross income	Damages and compensation	(WJ) Fourie Beleggings v C: SARS ZASCA 37 (31 March 2009) Stellenbosch Farmers' Winery Limited v C:SARS (25 May2012)
Definition of gross income	The legality or otherwise of the business productive of Income.	CIR v Delagoa Bay Cigarette Co Ltd MP Finance Group CC(in liquidation) v C:SARS

Property of CAA Learning Media©
For 2022 Examinations

Special inclusion - definition of gross income	Annuity	K Blen 'n Ander v Hogan
	In respect of services rendered	Stevens v C:SARS [2006]SCA 145(RSA)
Deductions– section 15 2(a)	The requirements of section 15 2(a) in general and then if income must be earned in the same year.	Sub-Nigel Ltd v CIR

Deductions– section 15 2(a)	Carrying on a trade	Burgess v CIR
Deductions– section 15 2(a)	in the production of income	Port Elizabeth Electric Tramway Co Ltd v CIR Joffe & Co (Pty) Ltd v CIR C: SARS v BP South Africa (Pty) Ptd BPSA (Pty) Ltd v C SARS CIR v Drakensberg Gardens Hotel (Pty) Ltd Provider v COT CSARS v Mobile Telephone Networks Holdings **(Pty) Ltd (7 March 2014)**
Deductions – section 15 2(a)	dual purpose	CIR v Nemojin (Pty) Ltd

Property of CAA Learning Media©
For 2022 Examinations

TAXATION OF INCOME ACCRUING TO PARTNERSHIPS

UNIT I

1. INTRODUCTION

Auditors and lawyers commonly carry out their businesses in the form of partnerships. Section 2 of The Income Tax Act [Chapter 23:06] interprets a person as excluding a partnership. Section 6 of the same Act authorizes the charging, levying ad collection of income tax on persons. In a partnership business, the obligation for taxes rests on the individual partners in their personal capacities.

A partnership business is where two or more individuals are in a business together making and sharing profits and losses. The individuals are equally and personally liable for the debts from the business. The definition of a person under Section 2(1) of the Income Tax Chapter (23:06) does not include a partnership hence a partnership is not a separate legal persona and is not liable to income tax.

Section 10 (2) of the Act deems the income accruing to the partnership to have accrued to the respective partners in proportion to the agreed profit-sharing ratios as laid out in the particular partnership agreement.

The profit that is received by or accrued to or in favor of a partnership shall be regarded as income for tax purposes in the hands of the individual partners. The partners are taxed in their individual capacity.

2. OBJECTIVE OF THE STUDY UNIT

Prepare an income tax computation for income accruing in a partnership business.
Describe the tax treatment of expenditures paid by the partnership business on behalf of the individual partners.

3. STUDY MATERIAL

Income Tax Act:

- **Section 2** - Interpretation
- **Section 8** – Interpretation of terms relating to Gross Income.
- **Section 10** – Special circumstances in which income is deemed to have accrued.
- **Section 15** – Deductions allowed in determination of taxable income.
- **Section 16** – Cases in which no deductions shall be made.
- **Section 17** – Special provisions relating to hire-purchase or other agreements providing for postponement of passing of ownership of property.
- **Section 18** – Special provisions relating to credit sales.
- **2nd schedule** – Valuation of Trading stock.
- **3rd schedule** – Exemption from Income Tax.
- **4th schedule** – Deductions to be allowed in respect of Buildings, Improvements, Machinery and Equipment Used for Commercial, Industrial and Farming Purposes & Other Provisions Relating thereto.

4. COMPETENCE FRAMEWORK EXPECTATION

You shall be expected to profile your taxpayer correctly in terms of legal form, residence, and organizational structure.

You shall be expected to calculate taxes for a partnership and to understand the legal taxation aspects of a partnership.

Property of CAA Learning Media©
For 2022 Examinations

5. EXAMINATION POSSIBILITIES

Computation of Taxation for businesses setup as partnership. The computation may commence from accounting profits.

Discussion of Taxation principles (Income Tax, VAT and CGT) applied in a partnership business in the hands of the partnership and in the hands of the partners.

Tax Planning for individuals in a partnership. Tax planning for a collective of sole traders seeking the most tax advantageous corporate structure between Partnerships, companies, and sole traders.

6. ASSUMED KNOWLEDGE

It is assumed that you understand.

- Accounting for business profits and IAS 12.
- Gross Income and exemptions
- General deductions and prohibited deductions.

7. INTEGRATION

Financial accounting IAS 12 and Income statements preparation.
Managerial Accounting and Finance principles

8. COURSE NOTES

PARTNERSHIP

8.1. Key Highlights

- A partnership is not a legal person and therefore, income accruing to the partnership is deemed to have accrued to the individual partners. Section 10(2) of the Income Tax Act.
- The partnership itself is not taxed directly; however, the taxable income of the partnership is calculated in the same way as corporate income and is then allocated amongst the partners in accordance with their agreed profit-sharing ratios. This income is taxed in their hands at the basic CIT rate.
- The partnership's taxable income established there-from is then shared amongst the partners in the profit-sharing ratio per the Partnership Deed.
- Partners are taxed at company tax rates i.e., 24% + 3% Aids Levy, this therefore means the individual partners making up the partnership are required to lodge individual tax returns on Quarterly Payment Dates (QPDs).

NB Partnership income to partners cannot be employment income as it is specifically scoped out of the definition of remuneration.

13th schedule – Employees' Tax - "remuneration" means any amount of income which is paid or payable to any person by way of any salary, leave pay, allowance, wage, overtime pay, bonus, gratuity, commission, fee, emolument, pension, superannuation allowance, retiring allowance, stipend or commutation of a pension or an annuity, whether in cash or otherwise and whether or not in respect of services rendered, including any amount referred to in paragraph (a), (b), (c) or (f) of the definition of "gross income" in subsection (1) of section eight, but not including— (e) any amount paid or payable out of moneys of a partnership to a person who is a member of that partnership; or

Property of CAA Learning Media©
For 2022 Examinations

8.2. Transfer of assets

Adjustments applicable to a partnership;

- A transfer of assets may take in place in the following situations:
- Where a sole trader converts their business into a partnership.
- Where a new partner is admitted, or a partner dies or retires.
- Where the partnership business is converted into a company.
- On transfer of the assets, the old partnership (or sole trader) is taxed on a recoupment arising on disposal of the assets.
- The new partnership or business is entitled to claim capital allowances on the price at which the assets have been acquired.
- The recoupment would be the difference between ITV of assets on date of deemed sale and the value at which assets were transferred.

Example: Inception of Partnership

Mr X bought assets for business use in tax year 1 and in tax year 3 he admits Mr Y into his business as a partner. Assume the original cost was ZWL$100 000 and ITV at date of admission was ZWL$50 000 and the value at which the assets were transferred was ZWL$75 000. Calculate the recoupment in the hands of Mr X.

Solution

	ZWL$
Transfer Value	75 000
ITV ($100 00* 25% *2)	(50 000)
Recoupment	25 000

Mr X will be taxed on the ZWL$25 000 as recoupment.

The partnership to claim allowance on ZWL$75 000. The partnership could still claim allowances on transfer value even if the asset were transferred at a value higher than the original cost.

8.3. Partnership Debtors

Where a new partnership is formed due to retirement, death, admission of a new partner etc. the new partnership will **not** be allowed a claim for bad debts in respect of debts incurred by the old partnership. This is because the bad debt was not included in the taxable income of the new partnership.

Likewise, where a company is formed from a partnership, bad debts in respect of debts incurred by the partnership cannot be claimed by the company.

8.4. Payment of Insurance Policies

Payment of insurance policies – Joint life policy

If a partnership takes out a policy on the joint lives of the partnership and charges the premium as an expense in the partnership account, the amount of such premium is not an allowable deduction where the partnership is the beneficiary.

Property of CAA Learning Media©
For 2022 Examinations

If each partner takes out a separate policy on his own life and cedes the policy to the partnership, the premiums will not be allowable as a deduction in the computation of the taxable income of the partnership (once the partners cede their policies to the partnership then the partnership becomes the beneficiary).

If each partner separately takes out a policy for his own benefit and the premiums are paid by the partnership; this is considered as allocation of partnership profits. The premium will be allowed as a deduction in computing the partnership's taxable income. Each partner becomes taxable on the premium paid on his policy.

8.5. Partnership Expenditures

Private expenditure of a partner incurred by the partnership is allowable to the partnership and taxable in the hands of the benefiting partner. Partners' salaries are also allowable to the partnership and taxable in the hands of the benefiting partner. Also taxable in the partner's hands is rent received for the use of his asset by the partnership, which is an expense to the partnership.

A contribution to a medical aid society by the partnership on behalf of a partner is an allowable deduction to the partnership, and taxable in the hands of a partner. The partner can claim a credit in respect of those amounts. (Para 8(2) 3rd schedule) does not extend to partners because they are not employees.

Where a partnership bears the costs of a partner's business trip and the partner takes the opportunity to take a holiday after the business trip has been concluded, no amount is taxable in the partner's hands. But where a partnership bears the cost of a holiday for a partner this will be considered as disbursement of partnership profit, and such cost is allowable in the hands of partnership but taxed in the partner's hands.

Expenditure Incurred by the Partnership	Treatment in the hands of the	
	Partnership	Respective Partner
Partner's salary	Allowable	Taxable
Joint life policies	Not allowable	Not taxable
Partner's life policy – partnership is the beneficiary.	Not allowable	Not taxable
Partner's life policy – partner is the beneficiary.	Allowable	Taxable
Partner's life policy – ceded to the partnership.	Not allowable	Not taxable
Interest on Capital	Allowable	Taxable
Drawings	Not allowable	Not Taxable
Rents payable to a partner	Allowable	Taxable
Sports subscriptions	Allowable	Taxable
Other Club subscriptions	Allowable	Not taxable if substantially patronised by

Property of CAA Learning Media©
For 2022 Examinations

		business and professional persons.
Medical aid contributions	Allowable	Taxable as the exemption only applies to employees. Grant credit.
Attendance at trade mission or convention (Section 15(2)(w)	Allowable to a maximum of $25 000 per partner.	Not Taxable
Voluntary payments to former partner or dependant thereof who has resigned from the partnership because of ill-health, infirmity or old age, (Section 15(2)(q)	Allowable to a maximum of $2 000 per former partner and $2 000 per dependant(s) of one former partner.	Tax the full amount
Partner's private use of a motor vehicle.	Allowable	Taxable
Passage benefits – partner's business trip where he uses the opportunity to take a holiday after the business	Allowable	Not Taxable – refer to a Harare objection of P J A Cunningham (84/74)
Passage benefits – partnership bears the cost of a holiday for a partner.	Allowable	Taxable
Retirement annuity fund contributions	Allowable	Taxable Allow deduction in terms of section 15(2)(h)

Property of CAA Learning Media©
For 2022 Examinations

9. PRACTICE QUESTIONS

PRACTICE QUESTIONS

David and Samuel practice as Quantity Surveyors in Harare. Samuel joined the practice when he qualified in July 2018. David has practiced here for seven years. They submit the following profit and loss account in support of income returns for the tax year ended 31 December 2020.

Partnership Income Statement	ZWL$		ZWL$
Insurance premiums:		Fees accrued	3,985,000
Loss of profit	60,000	Bad debts recovered	84,000
Fire	36,000	Bank interest	75,000
Partnership joint life policy	38,000	Debenture Interest	20,000
Life policies for benefit of:			
Dividends Delta Corp Ltd			9,000
Samuel 16,000			
David 10,000	26,000		
Medical aid contributions:			
David 52,000			
Samuel 32,000			
Staff 110,000	194,000		
Staff salaries	680,000		
Annuity to widow of deceased employee	210,000		
Interest on capital: David	48,000		
Samuel	44,000		
Bad debts	97,000		
Trade subscriptions	10,000		
Legal expenses: debt collection	60,000		
Depreciation	860,000		
Net Profit:			
David 60% 1,086,000			
Samuel 40% 724,000	1,810,000		
	4,173,000		4,173,000

Property of CAA Learning Media©
For 2022 Examinations

Notes:

1. Partners drawings were Samuel ZWL$80,000 and David ZWL$90,000.
2. Bad debts recovered include an amount of ZWL$60,000 on account of a loan previously written off as bad and not allowed as a deduction for tax purposes.
3. Residents' tax on bank interest $15,000 withheld. The debentures were in a farming company.
4. The gross dividend from Delta Corporation Ltd is ZWL10,000 from which ZWL1 000 resident shareholders tax has been deducted at source.
5. Bad debts are made up as follows.

Provisions for doubtful debts calculated at 5% of debtors	43,000
Fees unpaid	26,000
Loan to former manager now irrecoverable	28,000
	9,700

6. Fixed Assets

(a)Fixed Assets in the hands of the partnership at the beginning of the year are as follows:

Description of Asset	Date Acquired	Original Cost ($)
Office Furniture and Equipment	Jan 2012	150,000
Surgery Equipment	Jan 2019	700,000
Truck (single cab)	Jun 2013	700,000

(b) During the year the truck was traded in for a second-hand land cruiser. A trade in value of ZWL400,000 was given on the truck and the cost of the land cruiser was ZWL500,000.

(c) A sterilizer (cost $4000 purchased in January 2018) was scrapped during the year 2020, and a new one purchased for $100,000. (d) The partnership elects to claim SIA.

7. Samuel borrowed money to purchase his share in the partnership practice. Interest payable during the year amounted to $120,000.
8. David and Samuel paid $300,000 and $550,000 respectively to approved retirement annuity funds.
9. Samuel travels extensively for the practice and provides his own transport. He rented a car for $9,000 a month for six (6) months from 1 January 2020 and on 1 July 2020 purchased a Mazda sedan – vehicle car for ZWL500,000. His running expenses for six months to 31 December 2014 were ZWL100,000. It has been established that his non-business travel has at all times been 10% of the total.
10. Samuel is unmarried but has a disabled child aged 5. In addition to his income from the partnership, he had the following income:

Dividends from companies registered in Zimbabwe	400,000
Interest on tax reserve certificates fully utilized in payment on tax	20,400
Rents from UK property	720,000

Property of CAA Learning Media©
For 2022 Examinations

11. David is married with two children, and during the year his medical aid shortfalls were $60,000.

REQUIRED:

Calculate the tax payable by David and Samuel in respect of the tax year ended 31st December 2020.

Solution:

2020	ZWL$
Net Profit per Accounts	1,810,000
Add	
Loss of Profit (Not incurred)	60,000
Depreciation	860,000
Bad Debts: General Provision	43,000
: Loan to former manager	28,000
Annuity excess Sect 15 (2) – ($210,000 - $2,000)	208,000
Recoupment – ($ 400,000-0)	400,000
Joint life policy – Partnership beneficiary – Capital in nature	38,000
Less:	
Bad Debt recovered - Portion previously disallowed as a deduction	(60,000)
Bank Interest - exempt	(75,000)
Dividends Delta Corporation- exempt	(9,000)
SIA – w1	(1,800,000)
W&T – w2	(348,000)
Scrapping Allowance	(2,000)
Taxable Income	1,153,00
David: 60%	691,800
Samuel: 40%	461,200

Property of CAA Learning Media©
For 2022 Examinations

SIA Calculation		US$
1. Sterilizer Scrapped	400.00	
ITV Asset	(200.00)	
Proceeds	-	-
Scrapping Allowance	-	(200.00)
Equipment Wear and Tear calculation		
2010 addition	70,000.00	
Less: Scrapped	(400.00)	
Cost of Assets on Hand	69,600.00	
ITV	34,800.00	
Therefore, accelerated W&T @25 %	(17,400.00)	
		17,400.00
2. Truck Trade in		-
ITV		
Proceeds		40,000.00
Recoupment		40,000.00
3. Land cruisers are specifically included in the definition of Passenger Motor Vehicle		
and are therefore subject to the cost $100,000 cost Limit.		

Property of CAA Learning Media©
For 2022 Examinations

TAXATION OF INCOME ACCRUING TO FARMERS

UNIT J

Property of CAA Learning Media©
For 2022 Examinations

1. INTRODUCTION

Farmers earn business income from their operations and are therefore subject to income taxes like any other taxpayers. However, due to the specialized nature of their operations, they have special provisions in terms of the Income Tax Act, which apply to the taxation of income that they earn.

Zimbabwe Revenue Authority (Zimra) has listed import duty and Value Added Tax (VAT)-free agricultural equipment, the goods are treated as commercial importations. Clearance is to be done through a bill of entry and a tax clearance certificate is needed in order to be exempted from payment of presumptive tax. Failure to produce such attracts a presumptive tax of 10 percent of the value for duty purposes.

2. COURSE NOTES

2.1. Interpretation of Terms

Farmer – means any person who derives income from pastoral, agricultural or other farming activities, including any person who derives income from the letting of a farm used for such purposes and "farming operations" and farming purposes" shall be construed accordingly. Defined in section 2. Further interpretations of farming activities are found in the 7th schedule.

Livestock – acquired or bred by a farmer for farming purposes or in the carrying on of his farming operations. This includes cattle, sheep, goats, pigs, crocodiles, ostriches, fowls and any other animals or birds that are raised by a farmer as livestock in the course of his farming operations. Defined in 7th schedule.

Drought Stricken Area- means any area of Zimbabwe which is seriously affected by drought and which the Minister declares in a statutory Instrument to be drought stricken for the purposes of the 7th schedule. Defined in 7th schedule.

Epidemic Area – means any area of Zimbabwe which is affected by an epidemic disease of livestock and which the Minister declares in a statutory Instrument to be an epidemic area for the purposes of the 7th schedule. Defined in 7th schedule.

Grazer – means any livestock, which a farmer in terms of a contract with the owner of the livestock has in his possession and for which he has assumed responsibility for the grazing and management thereof. Defined in 7th schedule.

Water conservation work – means any reservoir, weir, dam, or embankment constructed for the impounding of water. Defined in 7th schedule.

Fencing means:

- Fencing erected by the taxpayer and used by him in farming operations.
- Fencing erected by any other person and for which a farmer becomes liable in terms of the Fencing Act, which is used for farming operations. Defined in 7th Schedule.

Farm Trading Stock means.

- Any livestock acquired or bred by a farmer for the purposes of carrying on farming operations.

Property of CAA Learning Media ©
For 2022 Examinations

- Crops and other produce produced or partially produced by a farmer in the carrying on of farming operations.

Staff Housing: 4th Schedule

- Buildings used mainly for the purposes of a trade wholly or mainly for the housing of his employees.
- It does not include any building comprising a residential unit which exceeds $2 500,000 (qualifying cost). Therefore, any expenditure in excess of the specified limit per unit disqualifies the cost of the entire building.
- Staff housing does not include a beer hall forming part of a farm compound. (ITC 1511 (1992) 54 SATC 39.
- SIA can be claimed at a rate of 25% and then accelerated wear & tear per annum thereafter.
- The taxpayer can claim wear and tear in the following instances:

  o an election to claim SIA was not done; or o the staff housing was acquired (i.e., not constructed by the taxpayer).

Farm Improvement: 4th Schedule

- Building, structure, or work of a permanent nature (including a water furrow) used in farming operations; includes sheds, canals, permanent roads, bridges, cattle dips.
- It includes any building used for the purposes of a school; hospital or clinic, in connection with the taxpayer's farming operations; 50% of taxpayer's employees must use clinic etc. 50% of pupils must be of employees of the farm operations.
- The capital allowances claimed on a *school, hospital or clinic are Limited to a cost $100,000*.
- It excludes any dwelling used by the taxpayer as a homestead for himself and his family.
- Also excludes farm assets covered by other specific provisions e.g., staff housing, tobacco barns and 7th Schedule assets.

2.2. VALUATION OF FARM TRADING STOCK

Ordinary Livestock – A farmer must make an election in his first return between Fixed Standard Values of the livestock (fixed by the farmer with the approval of the Commissioner) and the Cost and Maintenance value of the livestock. The latter includes the cost of:

- Purchase or the cost incurred in breeding the animals, as nearly as it can be ascertained; and
- Maintaining them. This second method is rarely chosen in practice and so is almost obsolete.

Stud Livestock – A farmer may elect to adopt either the Purchase Price Value (PPV) of each animal or the Fixed Standard Value (FSV) of the livestock.

Whether the livestock is stud or ordinary, two basic rules apply:

Property of CAA Learning Media ©
For 2022 Examinations

- The election as to method and the determination of the values are both related to "classes of livestock", chosen by the farmer, and approved by the Commissioner. The classes might be bulls, cows, heifers, etc.
- Once an election has been made and an FSV for a class has accepted the Commissioner has no unilateral powers to alter the taxpayer's method of valuation and while the farmer may alter it, he may do so only with the Commissioner's approval.

Section 8(1) (h) of the Act brings the value of trading stock into gross income. Section 15(2) (u) then permits the deduction of opening stock in the following year. Livestock is divided into "stud livestock' and 'ordinary livestock". Where there are two valuation methods the taxpayer must make an election.

Section 8(1)(h) Paragraph	**Type or Circumstance**	**Date of Valuation**	**Ordinary livestock (T/p to elect)**	**Stud livestock (T/p to elect)**	**Crops**	**2nd Schedul Paragra**
(i)	Closing stock	Last day of tax year or acq. yr.	FSV CMV	PPV FSV	Fair & reasonable	12
(ii)	Consumed by taxpayer or put to other use.	Date of such use	Fair & reasonable	Fair & reasonable	Fair & reasonable	13
(iii)	Stock on hand on date of death, insolvency, or donation	Date of such happening	FSV CMV	PPV FSV	Fair & reasonable	12
(iv)	Attached by court order	End of tax year	FSV CMV	PPV FSV	Fair & reasonable	12
(v)	Sold with Business Pursuance of court order	Date sold	Selling Price	Selling Price	Selling price	14

<u>Valuation of Livestock acquired without payment.</u>

Valuation of livestock acquired by inheritance or donations:

- If heir or donee merely sells the livestock without conducting farming operations, the proceeds are of a capital nature.
- If livestock farming is commenced or livestock is introduced into existing farming operations, a deduction is allowed. The livestock so acquired will be included as part of

Property of CAA Learning Media ©
For 2022 Examinations

the livestock purchased during the year. The question then arises as to what values are these livestock included in the purchases figures since they would have been acquired for no purchase consideration.

The livestock is therefore valued as follows:

- to an heir (inherited livestock), the fair market value, for which the valuation in the estate concerned would be used.
- to a donee, an amount not exceeding what would have been deductible in the donor's hands had he sold the livestock: this is normally the FSV of livestock.

2.3. 7th schedule allowances

Notwithstanding anything contained in the Income Tax Act, a farmer shall be entitled to deduct any expenditure incurred by him during the year of assessment on—

- the stumping and clearing of lands;
- works for the prevention of soil erosion;
- the sinking of boreholes and wells;
- aerial and geophysical surveys;
- any water conservation work and any amounts paid by him towards the cost of any water conservation work done by any other person for which such farmer has become liable in terms of the Natural Resources Act [Chapter 20:13]; and
- Fencing.

NB!!!The key point to note is that some of the above expenditures though they maybe capital in nature, in terms of the 7th schedule they are deducted in full in the year incurred.

2.4. Assessment of income when drought conditions or epidemic disease enforce sales of livestock: 4th Schedule.

If a farmer who raises or possesses livestock in a *drought-stricken area or an epidemic* area is driven by stress of the drought conditions or the epidemic disease, as the case may be, to dispose of his livestock during the period of the drought or the epidemic disease, he may elect to allocate the taxable income derived from the disposal of the livestock equally between the year of assessment in which he disposes of the livestock and each of the next two following years of assessment, and if he so elects he shall be assessed to tax accordingly:

- **Epidemic area**: means any area in Zimbabwe which is affected by an epidemic disease of livestock and which the Minister declares in a statutory instrument.
- **Drought stricken area**: means any area in Zimbabwe which is seriously affected by drought and which the Minister declares in a statutory instrument.

Framework for calculating taxable income from enforced sales.

Proceeds from drought sales	XX
Less:	
(a) Number sold * fixed standard value	XX

Property of CAA Learning Media ©
For 2022 Examinations

(b) Total no. sold * livestock expenses

Average stock * Taxable Income

X

XX

*Average stock = (opening stock + closing stock) / 2

Para 5I(i) If total income from enforced sales is greater than income derived from other farming operations the farmer can elect to roll forward the income over 3 years.

Example – Enforced Sales

A farmer sold in a drought proclaimed period all his 25 dairy cows which realized $20, 000. The FSV for dairy cows is ZWL600. The direct dairy expenses were ZWL1,500 while other livestock expenses were $4,000 per cow. Opening stock 160 head and closing stock 140 head. Calculate the relief from the enforced sales.

Solution

	ZWL
Drought sales	
	20,000
Less: FSV 25 cows at $600	
	(15,000)
Dairy expenses	
Expenses 4,000 x 25	(1,500)
0.5(160 +140)	(667)
Taxable income from drought sales	2,833
C/F to the next period (2/3 * 2,833)	1,889

Restocking Allowance: 4th Schedule

- Provided on the cost of restocking a herd which has been depleted by forced sales; *the cost of purchases is allowable.*
- A further deduction of 50% of the purchase price granted as a restocking allowance.
- Restocking allowance subject to a restriction based on the assessed carrying capacity of the land (ACCL).
- Calculated by applying the following formula:

A/2*B/C

Where A is the cost of livestock purchased.

Where B is the difference between ACCL and the number of cows before restocking.
Where C represents the number of livestock purchased.

Property of CAA Learning Media ©
For 2022 Examinations

Example: Restocking allowance

In September 2020 a farmer purchased 70 heifers for ZWL30,000 thereby restocking his herd which had been depleted by drought. The ACCL has been determined as 300.

The farmer's livestock trading account for the year ended 31st December 2020:

Herd			Herd		
350	Opening Stock	70 000	100	Sales (April)	65000
70	Purchase (September)	30 000	320	Closing stock	64000
	Expenses	4 000			
	Profit	25 000			
		129 000			129000

Required

Calculate the restocking allowance that can be claimed by the farmer.

Solution

Restocking allowance

ACCL	300	
On hand prior to purchase		250
Difference which should not have been exceeded		50
Potential restocking allowance (50% * ZWL30,000)		15,000
Actual allowance (50/70 x 15000)		10,714

Property of CAA Learning Media ©
For 2022 Examinations

PRACTICE QUESTION

Susan Bizure (Susan) acquired a farm under the government sponsored Land Resettlement Scheme in 2003. The farm is in Wedza, Mashonaland East. Since Susan resettled on the farm, she has become a seasoned cattle rancher and tobacco farmer. Over the years, she has been able to grow her cattle herd, as well as expanding the hectarage for tobacco farming.

Susan has always maintained her livestock at the assessed carrying capacity of her land (ACCL), which is 300. However, in the February 2020, due to drought conditions that prevailed in the Wedza area, she was forced to dispose 40% of her livestock. The Wedza area was declared a drought-stricken area at the beginning of 2020, by the Minister of Agriculture.

Livestock Figures

1. Opening stock as at 1 January 2020, was valued at ZWL33,350(made up of 300 herd of cattle)
2. Closing stock as at 31 December 2020, valued at ZWL26,000(made up of 180 herd of cattle)

Fixed asset register as at 31 December 2020:

Asset	Year	Cost $ZWL	Netbook Value $ZWL
Security Fence 2011		5 000	2 500
Farmhouse^	2006	150 000	140 000
Staff housing (3 units) 2017		21 000	18 500
Tractor	2018	12 000	10 800
Boreholes	2014	800	400
Deep tanks	2020	3 500	3 500
Tobacco barn	2016	16 500	13 600
School*	2017	12 000	8 900
Delivery vehicle	2020	12 000	11 500

^ Susan and her family have always occupied the farmhouse.

* 60% of pupils are children of employees of the farm.

Property of CAA Learning Media ©
For 2022 Examinations

Susan claims the maximum possible capital allowances in any given year.

Susan's income and expenditure details from her farming operations are as follows:

	Notes	ZWL$
Income		
Drought induced sales	1	30,000
Tobacco sales		
100,000		
Sales to local abattoirs		
50,000		
Profit on sale of delivery truck	2	
2,000		
Expenditure		
Stock feed		1,000
Fertilizers		7,000
Tobacco seeds	3,000	
Transport costs to auction floors		500
Deeping chemicals and vaccines	1,500	
Livestock Purchases 3	25,000	
Land clearing costs		1,200
Wages: tobacco		8,000
Wages: cattle ranch		2,500

Notes

1. In February 2020 Susan disposed 80 cows and 40 oxen due to the drought referred to above. The Fixed Standard values for cows and oxen are ZWL200 and ZWL180, respectively.
2. In March 2020, a delivery vehicle was sold for an amount of ZWL6,000. The vehicle had originally been purchased in 2016 for a cost price of ZWL8,000.
3. In November 2020, the meteorological department announced that they were expecting above average rainfall in the Wedza area. Therefore, Susan decided to restock her herd in light of the news. She purchased 50 oxen and 60 cows. At the time of the purchase, she had a total herd of 100 cattle.

   In December 2020, Susan inherited 20 herds of cattle from her late grandfather's deceased estate. She brought the herd of cattle to be part of her trading livestock. The valuation figures for the herd of cattle were as follows:

	ZWL
Market Value	6,000
Deceased estate valuation	5,400

Property of CAA Learning Media ©
For 2022 Examinations

Required

(a) Calculate the minimum taxable income and tax payable by Susan for the year ended 31 December 2020. For items which are neither taxable nor deductible indicate by the use of a zero. [27 marks]

Solution:

Question 2: Susan

	ZWL$	Marks
Drought Induced sales – Sec 8	30,000	1/2
Tobacco sales – Sec 8	100,000	1/2
Sales to local abattoirs – Sec 8	50,000	1/2
Recoupment – w1 – Sec 8 (1) (j)	6,000	2
Stock feed – sec 15	(1,000)	1/2
Livestock Opening stock – Sec 15 (2) (u)	(33,350)	1
Livestock Purchases – Sec 15	(25,000)	1
Livestock closing stock – Sec 8 (1) (h)	26,000	1
Fertilizers – Sec 15	(7,000)	1/2
Tobacco seeds – sec 15	(3,000)	1/2
Transport to auction floors – sec 15	(500)	1/2
Deeping chemicals and vaccines – sec 15	(1,500)	1/2
Land clearing costs – 7th schedule	(1,200)	1
Wages: tobacco – sec 15	(8,000)	1/2
Wages: cattle ranch – sec 15	(2,500)	1/2
Enforced sales relief – 7th schedule	(2,867)	4
Restocking allowance – 7th schedule	(12,500)	2
Inherited livestock – (Deceased estate valuation)	(5,400)	2
Capital Allowances:		
Farmhouse (does not qualify as staff housing therefore no capital all)		-
Staff Housing – Accelerated Wear Tear (ZWL21,000* 25%	(5,250)	2
Tractor – Accelerated Wear and Tear (ZWL12,000*25%)	(3,000)	2
Deep Tanks – SIA (ZWL3,500*25%)	(875)	2
Tobacco Barn – Allowances exhausted	-	1
School – Accelerated Wear and Tear (ZWL10,000* 25%)	(2,500)	2
Delivery Vehicle – SIA (ZWL12,000 * 25%)	(3,000)	2
Taxable Income	91,558	
Tax @ 24.72% (ZWL91,558 * 24.72%)	23,128	1

Workings;

Property of CAA Learning Media ©
For 2022 Examinations

W1. Enforced sales Relief – 7th schedule par 5

- Since Susan was forced to dispose of her livestock due to drought, she can elect to spread the taxable income accruing from the enforced over a period of three years. 1 mark
- The relief is available to Susan since the Wedza was declared a drought area. 1 mark

		ZWL$	Marks
Sales		30,000	(1/2)
Less Cost of livestock sold:	Cows (ZWL$200 * 80)	(16,000)	(1)
	Oxen (ZWL$180 *40)	(7,200)	
Less Livestock Expenses: ZWL$((1,000+1,500+2,500) * 120/240))		(2,500)	(3)
Taxable Income from Enforced sales		4,300	
Rollover Relief (ZWL4,300 * 2/3)		2,867	(2)

W2. Restocking allowance – 7th schedule par 6

- Since Susan restocked her herd after being forced to sell part of the herd due to drought conditions, she can claim a restocking allowance of 50% of the cost of livestock purchased. 1 mark

- If after the restocking the herd exceeds the ACCL, the allowance will be restricted to livestock purchased to reach the ACCL. 1 mark

	ZWL$	
Purchases	25,000	1/2 mark
Restock allowance (50% * ZWL25,000)	12,500	2 mark

Property of CAA Learning Media ©
For 2022 Examinations

TAXATION OF INCOME ACCRUING FROM MINING

UNIT K

Property of CAA Learning Media ©
For 2022 Examinations

10. INTRODUCTION

Miners earn business income from their operations and are therefore subject to income taxes like any other taxpayers. However due to the specialized nature of their operations they have special provisions in terms of the Income Tax Act which apply to the taxation of income that they earn. We shall cover the basics of the taxation of mining operations. You will be expected to only specialize post-qualification (if required).

11. OBJECTIVES OF THE STUDY UNIT

- Identify the special reliefs and provisions applicable to the taxation of income accruing from mining operations.
- Calculation of tax payable by a miner.
- Plan the tax affairs of a miner.
- Understand the administration of a miner's taxes.

12. STUDY MATERIAL

Income Tax Act:

- Section 2 – Interpretation.
- Section 8 – Interpretation of terms relating to Gross Income.
- Section 10 – Special circumstances in which income is deemed to have accrued.
- Section 15 – Deductions allowed in determination of taxable income.
- Section 16 – Cases in which no deductions shall be made.
- Section 17 – Special provisions relating to hire-purchase or other agreements providing for postponement of passing of ownership of property.
- Section 18 – Special provisions relating to credit sales.
- 2nd schedule – Valuation of Trading stock.
- 3rd schedule – Exemption from Income Tax.
- 5th schedule – Allowances and deductions in respect of income from mining operations and other provisions relating thereto.

13. COMPETENCE FRAMEWORK EXPECTATION

You shall be expected to:

- profile your taxpayer correctly in terms of legal form, residence, and organizational structure.
- Calculate a miner's taxes.
- Plan the tax affairs of a miner.

14. EXAMINATION POSSIBILITIES

- Computation of Taxation for a miner. The computation may commence from accounting profits.
- Discussion of Taxation principles (Income Tax, VAT and CGT) applied in a mining business.
- Tax Planning for miners including principles of withholding taxes and transfer pricing.

15. ASSUMED KNOWLEDGE

It is assumed that you understand:

- How to account for business profits and IAS 12.
- Gross Income and exemptions.

Property of CAA Learning Media ©
For 2021 Examinations

- General and prohibited deductions.

16. INTEGRATION

Financial accounting:

- IAS 1 - Presentation of Financial Statements Income statements preparation.
- IAS 12 - Income taxes.

Managerial Accounting and Finance principles.

Property of CAA Learning Media ©
For 2022 Examinations

17. COURSE NOTES

8.1. Introduction

Miners are assessed in the same manner as any other taxpayer. The main difference is in the method of claiming capital allowances. The capital redemption allowance (CRA) replaces SIA, wear & tear, and scrapping allowance.

The 6-year prescription on loss carryovers not applicable to miners. Income tax losses from mining operations incurred within six years of the commencement of operations can be carried forward indefinitely once mining operations have commenced.

8.2. Mining Operations – Section 2

In terms of Section 2 "***mineral***" includes any valuable crystalline or earthy substance forming part of or found within the earth's surface and produced or deposited there by natural agencies but does not include petroleum or any clay (other than fireclay), gravel, sand, stone (other than limestone) or other like substance ordinarily won by the method of surface working known as quarrying.

In terms of section 2 "***mining operations***" means any operations for the purpose of winning a mineral from the earth; and any operations for the purpose of weaning a mineral from any substance or constituent of the earth which are carried on in conjunction with operations referred to above by the person carrying on those operations.

The effect of the mining operation definition is to include:

1. Any operation for the purpose of winning a mineral from the earth.
2. Subsequent smelting and refining, by the same taxpayer of minerals won from the earth.
3. Any other operation recognised by the Commissioner, such as the re-working of mine dumps.

8.3. Prospecting expenses - section 15(2) (f)(ii)

Refers to expenditure incurred by a person on operations either in searching for a potential claim or in searching for minerals after a claim has been pegged.
A binding election is available to claim such expenditure from current income from any source or carry forward the expenditure to be allowed against income from mining operations in any subsequent year.

Expenditure may include:

- Survey costs.
- Sinking of boreholes.
- Digging of trenches and pits.
- Any other prospecting and other exploratory works undertaken for the purposes of acquiring rights to mine minerals.
- Shaft sinking.

8.4. Payment of royalties – section 15(2) (f)(iii)

This subparagraph was repealed by Act 1 of 2014. As a result of this, royalties are not deductible

8.5. Capital redemption allowance - section 15(2) (f)(i) and 5th schedule.

Capital expenditure for mining purposes is defined as: -

- Expenditure on buildings, works or equipment, and lease premiums.
- Shaft sinking (including sumps, pump chambers, stations and ore bins accessory to a shaft);

Property of CAA Learning Media ©
For 2022 Examinations

- Expenditure incurred prior to commencement of trade on preliminary surveys, boreholes, development, general administration and management, interest on loans; and
- Expenditure incurred on or after the 1st of April, 1988, on any permanent building used for the purposes of—mine schools, nursing homes and clinics.
  NB: Capital expenditure does not include cost of claims and goodwill or company flotation expenses and preproduction expenditure qualifies as capital expenditure.

Current Capital Expenditure (CCE): Capital expenditure incurred in a current year.

8.6. Unredeemed balance of Current Capital Expenditure (UBCE)

The balance of capital expenditure not extinguished by the CCE; preproduction expenditure forms the UBCE when production commences.

8.7. Recoupment

It is an amount accruing from sale, damage, destruction, or other disposal of asset on which capital redemption allowance or an allowance on replacement of asset has been claimed. It does not include in the case of damage / destruction of assets an amount exceeding original cost.

8.8. Methods of calculating the Capital Redemption Allowance

The redemption allowance can be calculated using either of three methods commonly referred to as:

- Life of mine
- Mixed method
- New mine method
- The taxpayer must make an election of the method preferred.

Life of Mine – Par 2 of the 5th Schedule

Under this method, the current year's capital expenditure is added to the balance of unredeemed capital expenditure brought forward at the commencement of the current year of assessment. The total capital expenditure is then divided by the approved estimate life of the mine (in years), counting from the beginning of the current year of assessment.

- CRA = $\frac{\text{CCE + UBCE – Recoupment}}{\text{Estimate of life* (years)}}$

A taxpayer who adopts the life of the mine basis in respect of a particular mine is permitted to change subsequently to the 'mixed basis'.

*"estimate of the life of the mine" means the number of years not exceeding –

- In the case of a mine operated for the purpose of producing lead or zinc or lead and zinc, ten years; in the case of a mine operated for the purpose of producing iron, five years; and
- In the case of any other mine, twenty years.

Where a taxpayer adopts this basis, he submits to ZIMRA an estimate of the number of years for which operations are expected to continue based on the certified estimates of ore reserves.
The capital expenditure ranking for CRA (less recoupments) is divided by the life of mine calculated from the commencement of year of assessment concerned.

Example

A company had an unredeemed balance of capital expenditure of $200,000 as at 1 Jan 2020.
Current capital expenditure is $120,000;
During the year, the company sold machinery for $40,000.
The mine estimates its life of mine to be four years from the end of the year of assessment.

Property of CAA Learning Media ©
For 2022 Examinations

Solution

		ZWL$
URBCE		200,000
Recoupment		(40,000)
		160,000
CCE		120,000
		280,000
CRA	280,000 / 5 =	56,000

New Mine Method (5th Schedule Par 4 (4))

This method is only available to those carrying on operations in a new mine as defined. The election of this method allows the taxpayer to deduct all capital expenditure brought forward and current in the first year of production. Thereafter, capital expenditure is allowed in the year in which it is incurred.

A new mine is defined as an undertaking which commenced regular production on or after 1/04/1968, or recommencement of a mine which has changed ownership and has been reorganised with substantially new development and new plant.

CRA = CCE + UBCE- Recoupment.

Mixed Method (5th schedule Par 4 (2))

Under this method this method the taxpayer can make an election to claim a portion of unredeemed capital expenditure brought forward at the beginning of the year, by applying the life of the mine method to it. In addition to that portion, the whole amount of the capital expenditure incurred in the current year is allowed in full.

$$\text{CRA} = \text{CCE} + \frac{\text{(UBCE)}}{\text{Life of mine (years)}}$$

Restrictions on certain Assets

- Passenger Motor vehicle – ZWL$ 100,000
- Staff housing
- ZWL$ 100,000 on a building used mainly as a dwelling by an individual shareholder where he is one of not more than four individuals who control the company, where the building was erected on or after the 1st of January 2009.
- ZWL$250.000 in respect of any building used mainly as a dwelling by staff employed at the school, hospital, nursing home or clinic—
- No restrictions on dwellings for mine employees

- ZWL500 000 on a building used mainly as a school, hospital, clinic or nursing home in connection with the taxpayer's mining operations.

8.9. Recoupments section 8(1) (j)

Recoupments taxable on the disposal of mining assets are not restricted to allowances claimed. Therefore, the amount of the recoupment is equal to the sale proceeds.

Property of CAA Learning Media ©
For 2022 Examinations

8.10. General Administration and Management Fees Section 16 (1) r

To be prohibited as a deduction is general administration and management fees paid by a subsidiary or holding company or a local branch (where the parent is a foreign company engaging in local mining operations). In respect of such expenditure as is paid before commencement of production to the extent that is exceeds 0.75% of:

A – (B + C)

Where,

- A – Represents the total expenditure qualifying for deduction in terms of s 15.
- B – Represents general administration and management fees paid outside Zimbabwe.
- C – Capital redemption allowance

In the case of such expenditure as is paid after commencement of production to the extent that it exceeds 1% of the above formula.

Example

The following expenses were incurred by A Ltd during the year ended 31 December 2020:

Administration fees paid outside Zimbabwe		120,000
Depreciation		60,000
Other tax-deductible expenses		420,000
Total		600.000
Capital redemption allowances	=	50,000

Solution

Allowable fees = 1% [A- (B+C)
= 1% [650,000 – 60,000) -(120,000 + 50,000)
= $4,200

Disallowable s 16(1) r = 120,000 – 4,200
= 115,800

8.11. Cessation of Mining Operations

If the cessation is due to the life of the mine having come to an end, or in the case of a mine worked under concession, the concession having expired, the balance of the unredeemed capital expenditure is allowable as a deduction in the year of cessation. If, however, the taxpayer has abandoned the mine that is by forfeiture of the claim, before its life has come to an end, the unredeemed balance of capital expenditure is not deductible unless he can show that there has been a material change of circumstances necessitating a revision of the life of the mine.

Property of CAA Learning Media ©
For 2022 Examinations

18. PRACTICE QUESTION

Bullions (Pvt) Ltd is a Zimbabwean registered company which operates a gold mine in the Great Dyke town of Chinhoyi in Zimbabwe. 60% of its issued share capital is owned by XYAI LTD a company registered in China. During the tax year ended 31 December 2020, Bullions (Pvt) Ltd borrowed $50 million dollars from a Chinese bank to finance an expansion programme for the mine and thereby increase production by 50%. The loan was guaranteed by the Chinese shareholders.

The income statement for the year ended 31 December 2020 reflected a net profit figure of $9,000,000 after taking the following adjustments:

Income		
Profit on sale of generator	6	20,000
Insurance proceeds	7	200,000
Profit on sale of mining claims	8	3,000,000
Expenses		
Administration expenses	1	1,200,000
Annuity purchased	2	200,000
Depreciation		1,650,000
Development expenditure		2,300,000
Preliminary surveys and boreholes		1,300,000
Prospecting expenditure		1,500,000
Interest paid	3	1,860 000
Donations	4	3,720,000
Shaft sinking		650,000

Other information

1. **Administration expenses;**

   Administration expenses include a payment of ZWL$200,000 which was to terminate the service contract of a former mine manager as part of a reorganization programme and ZWL$50,000 for the cost of materials donated by the company to the mine's sports club towards the construction of a swimming pool.

2. **Annuity purchased;**

   The annuity for ZWL$150,000 was purchased to discharge the company's contractual obligation to pay a pension to a former manager who was eligible to join the company's pension scheme.

3. **Interest payable;**

   The interest was payable to the Chinese bank. The average debt to equity ratio of Bullion (Pvt) Ltd is 3:1 and during the year ended 31 December 2020was 4:1.

4. **Donations**

Donation to the Chinhoyi Mayor's cheer fund	120,000

Property of CAA Learning Media ©
For 2022 Examinations

Donation to the National Scholarship Fund	1,500,000
Donation to the Chinhoyi Town Council bursary fund	200,000
Donation to Kutama Mission school for construction of school building	1,100,000
Donation of laboratory equipment to Heritage Trust School	800,000
	3,720,000

5. Addition to buildings

Residence for managing director	2,500,000
Extension to mine hospital	6,000,000
Staff canteen	340,000
Sports club renovations	250,000
	9,090,000

6. Profit on sale of generator

The generator had been acquired in 2017 for ZWL$70,000 and had a book value of ZWL$63,000. it was sold for ZWL$83,000.

7. Insurance payment

A Toyota Vigo which had been purchased for ZWL$2,000,000 in May 2017 was written off in an accident. Insurance proceeds of ZWL$1,000,000 were received.

8. Profit on sale of mining claim

The mining claim had been acquired for ZWL$250,000; it was abandoned and sold for ZWL$3,250,000.

REQUIRED

Calculate the company's minimum taxable income or maximum tax loss for the year ended 31st December 2020.

Assume that the company claims capital expenditure using the "new mine basis" and the new tax legislation is applicable.

Property of CAA Learning Media ©
For 2022 Examinations

SUGGESTED SOLUTION

TRANSACTION	BRIEF NARATION	ZWL$
Profit per accounts		9,000,000.00
Profit on sale of generator	Capital in nature	(20,000.00)
Sale of generators	Recoupment limited to capital allowances previously granted (CRA)	70,000.00
Sale of Toyota Vigo	Recoupment	1,000,000.00
Profit on sale of mining claims	Capital in nature	(300,000.00)
Administration expenses	Allowable Deduction (correctly included)	-
Annuity Purchased	Capital in nature	200,000.00
Depreciation	Not incurred	1,650,000.00
Development Expenditure	Allowable Deduction (correctly included)	-
Preliminary Survey and Boreholes	Allowable Deduction (correctly included)	-
Prospecting Expenditure	S15(2)(f)ii	-
Shaft Sinking	Part of CRA	650,000.00
Donations to Mayors' cheer fund	Not deductible	120,000.00
Donation to National Scholarship Fund	S15(2)r limited to 1m	500,000.00
Donation to Chinhoyi Town Council Bursary Fund	Not allowable	200,000.00
Donation to Kutama Mission School	Limited to 1m	100,000.00
Donation of laboratory equipment to Heritage Trust School	Not allowable	80,000.00
Interest Payable : Disallowed Portion (1,860,000*4/3)	Disallowed	465,000.00
CRA:		(4,240,000.00)
Shaft Sinking	650,000.00	
Residence for MD	2,500,000.00	
Extension to mine hospital restricted to 500,000	500,000.00	
Staff Canteen	340,000.00	
Sports Club Renovations	250,000.00	
Taxable Income		9,475,000.00

Property of CAA Learning Media ©
For 2022 Examinations

TAXATION OF DECEASED ESTATES AND TRUST

UNIT M

Property of CAA Learning Media ©
For 2022 Examinations

1. INTRODUCTION

As in the case of individuals and companies, it is possible for a deceased estate or trust to constitute a taxpayer and to be liable to tax on its taxable income.

So how does an estate come into being:

- An estate is a legal persona, which come into being by operation of law as follows.
- A deceased estate commences its existence with the death of an individual. It consists of the whole of the deceased's property. It is administered under the Estate Duty Act by the executor and terminates when any necessary realization of assets has been affected, the master of High Court has affected final liquidation and distribution account.
- An insolvent or assigned estate is created by the order of the court on presentation of petition for surrender sequestration or statutory assignment of the debtor's estate.

A trust on the other hand is not generally a person though it may be regarded as a person for tax purposes especially when it has income the subject of which no beneficiary is entitled to. It comes into existence through the will of a deceased person (testamentary) or can be created by an existing person (inter vivos) as shall be seen later.

2. OBJECTIVES OF THE STUDY UNIT

- Identify income in the pre-death and post-death period.
- Identify different types of beneficiaries to a trust and deceased estate.
- Identify expenditures which are allowable to a deceased estate.
- Determine the tax treatment of the different income (employment income vs trading, Investments).
- Calculate the taxable income in the hands of a Trust.

3. STUDY MATERIAL

Income Tax Act Chapter 23:06
Estate Duty Act 23:03.

4. COMPETENCE FRAMEWORK EXPECTATION

- Profile Deceased Estates and Trusts.
- Understand the calculation of taxes and the legal provisions on taxation of the Deceased and Trusts.

5. EXAMINATION POSSIBILITIES

Discussion double taxation relief principles i.e. How the double taxation arises and the different relief types available.
Tax Planning taking advantage of double taxation agreements.

6. ASSUMED KNOWLEDGE

None

7. INTEGRATION

Possible estate planning at an individual level as well as strategy and risk from a MAF perspective. It is also possible to integrate with auditing to audit the accounting of trusts.

Property of CAA Learning Media ©
For 2022 Examinations

8. COURSENOTES

8.1. Key Learning Points

- Taxation of income generated by assets (property) in a deceased estate.
- Explain the implications of the Income Tax Act in relation to deceased estates.
- The tax treatment of the contents of wills of a deceased person.
- Identify what constitutes an estate of a deceased person.

8.2. Application of the Income Tax Act in relation to deceased estates – Sect 11

Section 11 to the Income Tax Act deals with the taxation of income derived from assets in deceased estates.

8.3. Key definitions in section (Sect 11 (1))

- Ascertained beneficiaries – means a person named or identified in the will of a deceased person who by reason of the will acquires on death of the deceased person any immediate certain right to claim the present or future enjoyment of the income so received or accrued.
- Asset in deceased estate - does not include a right to claim an amount which becomes due and payable before the death of the deceased person. Therefore, the above definition excludes:
- Debtors as at time of death.
- Cash Balances.

8.4. General Principle

- Period up to death - On the death of a taxpayer an assessment is raised on deceased taxable income accruing to the date of death.
- Period after death - A new taxpayer a deceased estate then comes into being and there arises the question of determining in which part's hands the income accruing in the post death period should be taxed.

8.5. Income accruing during the post death period – Sect 11

The terms of the will are crucial as they form the basis as to who is taxable on the income subsequently derived from the asset of the estate as follows;

- Sect 11(2) - **Specific asset to a specific person**
  - Where a specific asset is left to a specific individual e.g., my house to my son Arnold; the son is taxable on the income derived from the asset from the day after the death of the deceased. The son is in this case an ascertained beneficiary.
- Sect 11(3) – **Residue**
  - Where the will provides for a residue in the estate, **the estate is taxable** on the income derived from the asset or residue from the day after death until the date of distribution by the executor.
- *Note!!! Income accruing during the period where the beneficiary is entitled to transfer and ending immediately before the transfer from the deceased estate is taxable in the hands of the beneficiary.*

8.6. Pre and Post Death Income – Sect 11(4)

- Sect 11 (4) (a) - an amount received or accruing by virtue of a right forming part of the assets in a deceased estate which did not become due and payable before the death of the deceased person (subject to par b) shall be income for the purposes of the Income Tax Act, if the amount would have been income of the deceased person had it been received in his lifetime.
  - E.g., contractual commission falling due after death, leave pay, rental income from properties.
  - The income is therefore taxable in the hands of either the deceased estate or ascertained beneficiary.

Property of CAA Learning Media ©
For 2022 Examinations

- Sect 11(4) (b) - an amount received in a deceased estate (received in the post death period) which would have been income of a deceased person had it been received in his lifetime shall not be income for the purposes of the Income tax Act if—
  - the deceased person had no right to claim the amount in his lifetime; and
  - the amount is received ex gratia or in pursuance of a gratuitous promise made after the death of the deceased person;
  - E.g., bonus voted for after death.

- Expenditure against post death income
  - If the expenditure is allowable under the general deduction formula it will also be allowed to be deducted in the estate or to the beneficiary, but inadmissible expenditure is disallowed in the determination of taxable income. For example, municipal rates for a flat that the deceased rents out will be deductible as it is an expenditure for the purpose of trade.

- Ordinary resident
  - An estate is regarded to be ordinarily resident in Zimbabwe if the deceased was ordinarily resident in Zimbabwe at the time of his death.

- Medical expenses
  - Medical expenses of the deceased paid after death is claimed as a credit in the pre-death period.

8.7. Applicable taxation rates

- General Principle – The source of the income determines the rate of tax to be applied
- Pre death period
  - Employment Income – Apply PAYE rates
  - Trade and Investments – 24% + Aids Levy
- Post death period (Deceased Estate/beneficiary)
  - Employment Income – Apply PAYE rates
  - Trade and Investments – 24% + Aids Levy

Property of CAA Learning Media ©
For 2022 Examinations

8.8. Deceased Estate: Estate Duty Act

Estate duty is a tax levied on the estate or property of a deceased person. The rate of tax is 5% of the dutiable amount of the estate.

Framework	
Gross property (assets)	xxxx
Less deduction	(xxxx)
Dutiable amount	xxxx

Note the first $50,000 of the dutiable amount is duty free.

8.9. Estate Gross property (Sect 4)

- The following items constitute the property of the deceased person or the estate.
  - all property held at date of death by the deceased which was acquired after 1 January 1967. (Sect 4 (1) (a)
  - all property held at date of death by the deceased which was acquired before 1 January 1967. (Sect 4 (1) (c)
  - Property assumed (deemed) to be that of the deceased at date of death. Sect 4 (1) (b)
- Note: the asset should be in the possession of the deceased person at the time of death to be included in the property of the deceased estate.

Property Sect 4 (2)

- "property" means any right in or to property, movable or immovable, corporeal or incorporeal, and includes:
- any fiduciary, usufructuary or other like interest in property (including a right to an annuity charged upon property) held by the deceased immediately prior to his death; and
- any right to an annuity (other than a right to an annuity charged upon any property) enjoyed by the deceased immediately prior to his death which accrued to some other person on the death of the deceased.

Property Sect 4 (2) – continued

- If deceased was not ordinarily resident in Zimbabwe property does not include:
- any right in immovable property situated outside Zimbabwe; or
- any right in movable property physically situated outside Zimbabwe; or
- any debt not recoverable or right of action not enforceable in the courts of Zimbabwe; or
- any goodwill, licence, patent, design, trademark, service mark, copyright or other similar right not registered or enforceable in Zimbabwe or attaching to any trade, business or profession in Zimbabwe; or
- any stocks or shares held by him in a body corporate which is not a company.

Deemed Property (Sect 4 (3))

All insurance policy proceeds on the life of the deceased as exceeds the aggregate amount of any premiums or consideration proved to the satisfaction of the Master to have been paid by any person who is entitled to the amount due under the policy, together with interest at nine per centum per annum calculated upon such premiums or consideration from the respective dates of payment to the date of death: excluding:

- a policy the amount due under which is recoverable by the surviving spouse or child of the deceased under a duly registered ante-nuptial or post-nuptial contract;
- any amount due and recoverable under a policy which has been ceded by the deceased in his lifetime bona fide and for full consideration, otherwise than as security for payment of any sum of money or the fulfilment of any other obligation; or
- policies for purposes of paying estate duty

Property of CAA Learning Media ©
For 2022 Examinations

- Policies taken out by a person other than the deceased before 1 January 1967 etc.
- any property donated by the deceased under a donatio mortis causa; (donations made in anticipation of death)
- any property exceeding two hundred dollars in value donated under a donation inter vivos made before the 1st January, 1967, unless such donation was made and took effect more than two years before the date of the death of the deceased;
- any property exceeding ten million dollars in value in any one calendar year donated under a donation (other than a donation to a spouse under a duly registered ante-nuptial or post-nuptial contract or a donatio mortis causa) made on or after the 1st January, 1967—
  (i) in the case of a deceased not referred to in subparagraph (ii), by the deceased; or
  (ii) in the case of a deceased who was married in community of property, by the deceased or by a spouse who was so married to the deceased to the extent to which the property would, if it had not been donated, have formed part of the estate of the deceased; or
  (iii) by a body corporate, if such property was disposed of under any donation made by it at the instance of the deceased and if, having regard to the circumstances under which that donation was made by such body corporate, the Master is of the opinion—
    - A. that it was not made in the ordinary course of the normal income-earning operations of that body corporate; and
    - B. that the selection of the donee who benefited by the donation was made at the instance of the deceased;
- unless—
    - I. such donation is deemed to have been made more than five years before the date of death of the deceased donor; or
    - II. such donation is deemed to have been made to a person who predeceased the donor;

Allowable deductions (Sect 5)

- Funeral and death-bed expenses
- Debts payable out of the deceased person's property to persons ordinarily resident in Zimbabwe excluding to companies which the deceased held some interest.
- Masters administration expenses in respect of the estate property
- Donations to charitable organizations or institution of public character
- The value of family house as defined by s 21 capital gain Tax Act, where the deceased is survived by spouse or child.
- any debts due by the deceased to persons ordinarily resident outside Zimbabwe which have been discharged from property included in the estate to the extent that the amount of such debts exceeds the value of any assets of the deceased outside Zimbabwe and not so included;
- the value of one motor vehicle of the deceased which is accepted by the Master as the family motor vehicle
- Proceeds from pension and benefit funds as have been included in the estate.
- Where the deceased is survived by his or her spouse, so much of the dutiable proceeds of insurance policies as do not exceed one hundred million dollars.

Sect 19 – Deduction of capital gains tax

There shall be deducted from any duty payable under this Act the amount of any tax paid by the deceased or his estate in terms of the Capital Gains Tax Act [Chapter 23:01], in respect of any property that is deemed to be the property of the deceased in terms of paragraph (d) of subsection (3) of section four.

8.10. Taxation of Income accruing to Trusts: Income Tax Act

a) Types of Trusts

Property of CAA Learning Media ©
For 2022 Examinations

Will Trust (Testamentary)

- The deceased person will nominate certain people in his will who will take charge of his assets upon his death (Trustees).
- Such people will administer the assets of the trust and make distributions to the beneficiaries as directed by the will.
- Sometimes the will may state the time or at what age the assets of the trust shall be distributed or handed over to the beneficiaries. The trust will then be wound up when all the distributions have been made.

Inter Vivos Trust

- The person will by a written trust deed names certain person(s) as trustees and hand over various assets to them as initial capital of trust.
- The trustees will then administer this capital and receive any income accruing there from in accordance with the conditions set out in the trust deed.

NB!!!! a trust is not taxable unless it has income to which no beneficiary is entitled. In most cases the commissioner will tax the beneficiaries of the trust. The question will then turn out to be whether any beneficiary of a trust has a vested right or a contingent one. Where a beneficiary has **vested right he is taxable on the trust income whether distributed or not**. **Where a beneficiary has contingent right and the terms and conditions of that right have not been met the income is taxable in the trust's hands.**

b) Identity of trust income

The general rule is that trust income will retain its identity in the hands of the beneficiary. In other words, if the trust receives a bank interest and distribute it to the beneficiary, the income will still be called bank interest in the hands of a beneficiary.

An annuity however forms an exception to the general rule, thus the exemptions granted in respect of dividends and certain interest in terms of paragraph 9,10 and 11 of third schedule do not apply to any annuity paid out of such exempt income. In other words, for the beneficiary the income from an annuity does not take the form it had when it entered the Trust.

As long as an amount is received as an annuity by a beneficiary it will be taxable indiscriminately, no matter whether the trust income is from an exempted source.

c) Trust expenditure

If the expenditure is allowable under the general deductions formula it will also be allowable against trust income, and prohibited expenditure is disallowed.

d) Expenditure on exempt income

It has to be reinforced once again that no expenditure is allowable to the extent to which such expenditure has been incurred in the production of exempt income. This scenario is usually more often in trust cases.

For instance, the trustees maybe paid commission based on the income created by them, of which part of the income will be from an exempt source.
Where such a circumstance applies, the allowable part of the commission will be reduced by:

$$\frac{A \times B}{C}$$

Where:
A is the exempt income,
B is direct expenditure applicable on creation of trust income,
C is total gross income created by the trustees.

Property of CAA Learning Media ©
For 2022 Examinations

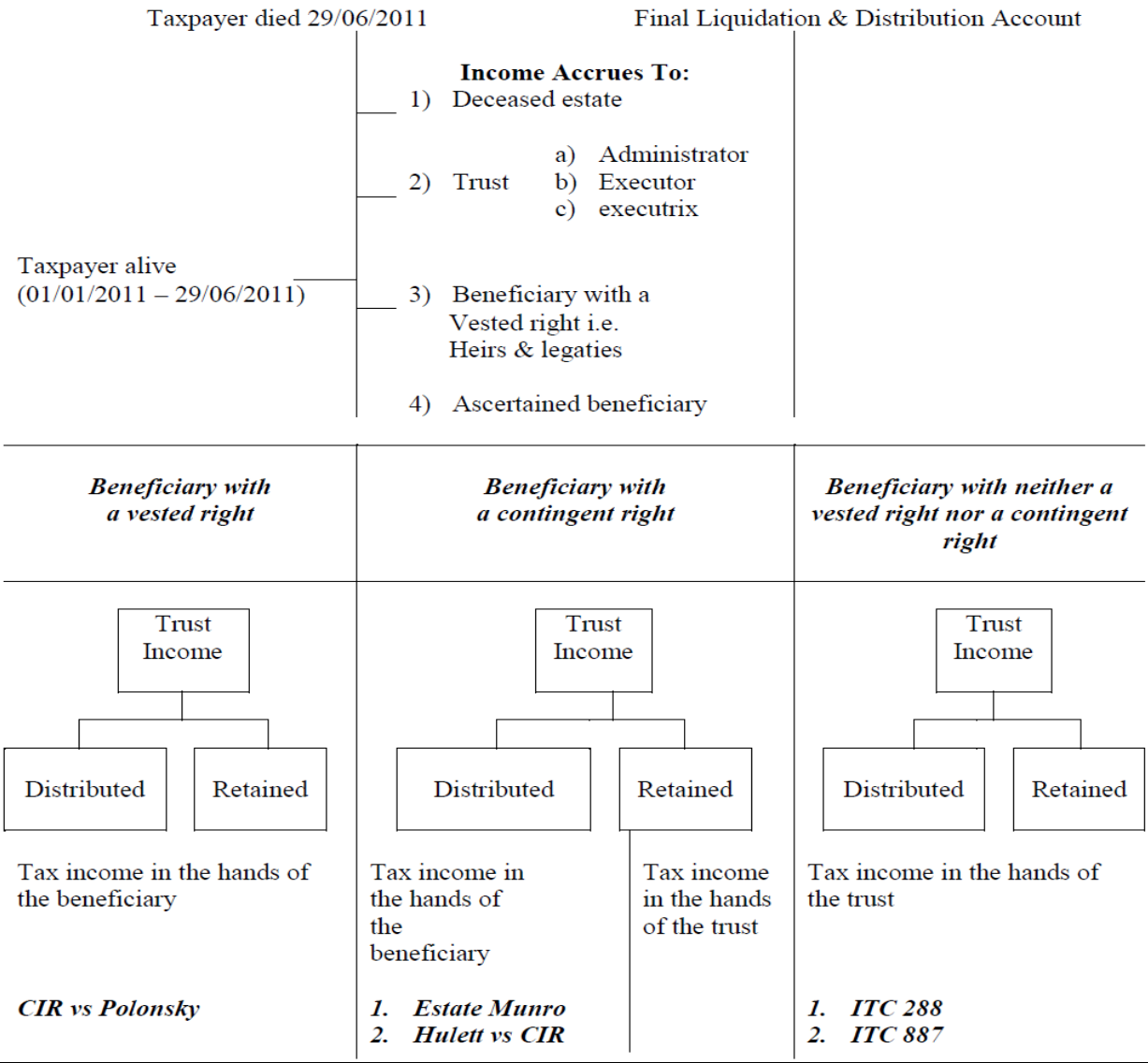
Example

Mhere trust was created on 31/07/09 and is administered by Tendai and Tinotenda. During the current year of assessment, the trust earned a total income amounting to $80,000.00, included in this income is dividend from a company incorporated in Zimbabwe amounting to $20,000.00. the trustees were paid commission amounting to $12,000.00. How much is allowable against trust income?

Solution

	$
Total commission paid	12 000
Less ($12 000x$20 000/$80 000)	(3 000)
Allowable commission	**9 000**

DECEASED ESTATES AND TRUSTS SUMMARY



Property of CAA Learning Media ©
For 2022 Examinations

9. PRACTICE QUESTION

Oskar Trotsky, who was 45 years old, was ordinarily resident in Zimbabwe. He was married out of community of property to Naomi, who is disabled and unemployed.

They have three children, Svend who is 22 years of age, John who is 19 years of age and Karen who is 15 years of age. Oskar has been employed by Taurus (Pvt) Ltd ('Taurus') for the past 20 years and held the position of financial director for the past three years.

Oskar became seriously ill and on 26 February 2020 he was diagnosed with a terminal illness. He retired with effect from 28 February 2020 on the grounds of ill health. Oskar died on 31 March 2020 and his estate was wound up on 30 September 2020.

1. Oskar received the following remuneration from Taurus for the period 1 January 2020 to 28 February 2020:

	$ZWL
Salary	40 000
Bonus, voted 15 February 2020	15 000
Directors' fees, voted 15 February 2020	10 000
Entertainment allowance (of which $ZWL3 000 had been. spent on entertaining business customers)	6 200
	71 200

Oskar had the use of a company vehicle with an engine capacity of 1 800cc.

2. On 10 January 2020 Taurus granted Oskar an interest-free loan of $ZWL45 000 to finance his medical expenses. Taurus also paid medical expenses amounting to $2 000 in February 2020 on behalf of Oskar.

3. When Oskar retired at the end of February, he was given the company vehicle which had been purchased by Taurus in November 2015 at a cost of $ZWL33 000 and which at 28 February 2020 had a market value of $ZWL25 000.

4. Oskar owned a block of flats in Zimbabwe which was let at a monthly rental of $4 300 from 1 January 2020 to 30 December 2020. In January 2020 he had erected a fence along one boundary at a cost of $ZWL1 500. At 31 December 2013 Oskar had an assessed loss of $ZWL7 500.

5. On 15 January 2020 Gemini (Pvt) Ltd, a subsidiary of Taurus, voted a directors' fee of $ZWL18000 to Oskar, who had also been a director of this Zimbabwe registered company.

6. Oskar made the following bequests in terms of his will:

- To his sister, Felicity Jones, the sum of $ZWL10 000.
- To his wife, Naomi, the family home and any movable assets as well as an annuity of $ZWL1 000 to be paid out of rental income from the block of flats.

Property of CAA Learning Media ©
For 2022 Examinations

- The flats were bequeathed jointly to Sven, John and Karen. Oskar stipulated that the income from the flats would be held in trust for any child who was under the age of 21. If either of his sons died before they reached the age of 21, any accumulated rent would be paid immediately to his executors. However, if Karen died before she was 21 years of age, her share would fall away and would devolve on her surviving brothers.

7. The residue of the estate would be divided equally amongst the three children.

8. Operations during the administration period from April 2020 to September 2020:

	$ZWL
Rental- 6 x $4 300.	25 800
Interest arising on a loan to a Zimbabwe registered com	3 200
	29 000
Annuity - Mrs N Trotsky (6 x $1 000)	6 000
Maintenance costs (all allowable)	4 800
	18 200

REQUIRED

(a)Calculate the 2020 Income tax liability of Oskar Trotsky for the period to his date of death.

(b) Calculate the taxable income of each of the beneficiaries at 30 September 2020, when the estate was wound up, assuming none of them had any other taxable income. Provide explanations for your answers.

Property of CAA Learning Media ©
For 2022 Examinations

Solution

	$ZWL +	$ ZWL-
Salary	40,000	
Bonus	15,000	
Exempt bonus – 3rd Schedule		
Entertainment allowance ($ZWL6 200-$ZWL3 000)	3,200	
Motor Vehicle benefit ($ZWL2 400*(2/12))	400	1,000
Directors' fees – Voted for before death	10,000	
Medical expenses paid by Taurus- exempt (Sch 3(8)1) Interest free loan granted by Taurus to Oskar to finance his medical expenses (No fringe benefit as it does not meet the definition of loan in Section 8)	- -	
Motor vehicle given to Oskar	25,000	
		1,000
	93,600	
	(1,000)	
	92,600	
Tax on: First $ZWL90,000 : 26,100		
Balance of $ZWL2,600 : 1,040	27,140	
Tax thereon	(900)	
Credits: Disabled person (Naomi) Tax liability	26 240	

Income tax from trade and investment

	$ZWL +	$ZWL -
Rent from block of flats $ZWL4 300*3.	12,900	
W&T on erection of fence (2,5%*1 500) Assessed loss.		37,5
Non-executive director's fees		7 500
	18,000	
	30 900	7 537,5
	(7 537,5)	
Taxable Income	23 362.5	
Tax @ 24,72%	5 775.21	
Less withholding tax on directors' fees ($ZWL18,000*20%)	(3 600)	
	2 175	

Property of CAA Learning Media ©
For 2022 Examinations

(b) Taxable Income of Each of the beneficiaries at 30 September 2020

	$ZWL	$ZWL
Felicity Jones – Taxable Income		
Bequest in terms of Oscar's will – Felicity is an ascertained beneficiary – However the amount is capital in nature as it is not accruing from assets in the deceased estate		0
Naomi		
Annuity – Naomi is an ascertained beneficiary (paid out from rental income).		6,000

	$ZWL	$ZWL
Rental Income		25,800
Less Annuity		(6,000)
Less Maintenance costs		(4,800)
Total Taxable Income Arising on flat income		15,000
Svend – Ascertained beneficiary.		
Share of flat income: $15,000/3		5,000
Residue of the estate: Capital in nature		0
Taxable Income		5,000
John – Ascertained beneficiary		
Share of flat income – John has a contingent right. Therefore, since he has not yet reached the age of 21 the income is taxable in the hands of the trust		0
Residue of the estate: Capital in nature		0
Taxable Income		-
Karen – Ascertained beneficiary		
Share of flat income – Karen has a contingent right. Therefore, since he has not yet reached the age of 21 the income is taxable in the hands of the trust		0
Residue of the estate: Capital in nature		0
Trust -		
Flat income – John and Karen - $15,000*2/3		10,000
Deceased Estate – up to 30 September 2020		
Interest on loan – no ascertained beneficiary		3,200

Property of CAA Learning Media ©
For 2022 Examinations